Following are three prominent reasons I believe a person has a legitimate reason to make an asset allocation change. These are:

1. Your financial goal is well within reach.
2. You realize that you will not need all your money during your lifetime.
3. You realize that your tolerance for risk is not as high as you thought it was.

The above reasons are three of the most common triggers for an asset allocation change, although there are many other reasons. For example, starting a new business may prompt people to become more conservative in their asset allocation because they are now taking business risk in other ways as well as needing extra liquidity. A divorce could change both spouses' asset allocation as each party looks to his or her financial future as a single person rather than as a couple. A serious medical issue may change long-term goals, and this may affect asset allocation. Finally, the death of a spouse may also affect asset allocation decisions because one person has lower liabilities than two.

Whatever the reason for an asset allocation review, it should be done with as much care and diligence as your initial allocation. Any change to an asset allocation should be long term and with the intent to match long-term liabilities and savings goals.

## YOUR FINANCIAL GOALS ARE WITHIN REACH

Consider a reduction to risk when you are within reach of your financial goal. At some point in the employment rat race, you realize that you may have enough money and will be looking for the exit ramp. This would be the time to take your foot off the gas pedal and move into the right-hand lane where you can prepare for the next road in life should you decide to take that exit.

Assume that you wish to retire in three years with $2 million in retirement savings. If you already have $1,800,000 in savings, then the rate of return you need is to achieve your $2,000,000 goal does not require a high-risk allocation. You may decide to lower your equity exposure